

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SEAFair USA LLC, *Complainant*

v.

STERLING CONTAINER LINE LTD. AND ATLANTIC
FORWARDING LTD., *Respondents*.

DOCKET NO. 22-34

Served: August 28, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER DENYING RESPONDENTS' PETITION FOR ATTORNEY FEES¹

I. INTRODUCTION

A. Overview

On May 16, 2024, the Commission issued a notice not to review, thereby making the initial decision in this proceeding administratively final. *See* 46 C.F.R. § 502.227(a)(3). Then, on June 14, 2024, Respondents Sterling Container Line Ltd. ("Sterling") and Atlantic Forwarding Ltd. ("Atlantic") filed a petition for attorney fees ("Fee Petition") and a motion for confidential treatment of the Petition exhibits.

Complainant SeaFair USA LLC acted as a "destination agent" for Respondents, managing document turnover, providing destination services, and collecting charges relating to steamship lines, associated terminals, and logistics companies. Initial Decision at 4-5. Respondent Sterling is a foreign Non-Vessel-Operating Common Carrier (NVOCC) based in Hong Kong; Respondent Atlantic is an ocean transportation intermediary based in Basel, Switzerland. *Id.* at 4.

The core dispute in this proceeding concerned SeaFair's claim that Respondents failed to pay document-turnover fees and outstanding destination charges, in violation of the Shipping Act. Complaint at 1. Respondents denied these allegations and argued that SeaFair's inability to collect destination charges was due to its "disorganized billing and collection processes." Opposition Brief of Respondents at 3. I found that "the parties' dispute arises out of an alleged breach of their agreement, and the evidence does not support a Shipping Act violation" under any of the theories SeaFair advanced. Initial Decision at 19.

¹ This order will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service of this order. 46 C.F.R. § 502.254(h).

B. Procedural History

On December 15, 2022, the Commission issued a notice of filing of complaint and assignment in this proceeding. Respondents filed an answer with defenses to the complaint on December 26, 2022. A scheduling order was issued on January 18, 2023, commencing discovery. Complainant's motion to compel was dismissed as moot on June 26, 2023, and the discovery period closed. Then, Complainant filed a combined motion to amend its complaint and an extension to the scheduling order. The motion to amend was denied on July 6, 2023, and the briefing schedule was revised.

Complainant filed its opening brief with proposed findings of fact and appendix on July 28, 2023. Respondent filed its opposition brief, proposed findings of fact, appendix, and responses to Complainant's findings of fact on August 28, 2023. On September 12, 2023, SeaFair filed its reply brief and responses to Respondents' proposed findings of fact. Respondents then filed a motion for leave to file sur-reply and to supplement the record on September 22, 2023. On October 4, 2023, the case was reassigned to the undersigned. Leave to grant a sur-reply was granted on October 10, 2023. Then, on October 20, 2023, Respondents filed their sur-reply with an attached appendix. The initial decision was issued on April 15, 2024. The Commission issued a Notice Not to Review the Initial Decision on May 16, 2024.

After Respondents filed their Fee Petition, SeaFair moved for an enlargement of time to respond. I granted the motion, and SeaFair served its Reply to Respondents' Petition for Attorney Fees ("Reply") on July 11, 2024. On August 1, 2024, in the course of reviewing the Fee Petition and Reply, I noticed that the Reply did not appear on the docket and had apparently not been emailed to the Office of the Secretary for filing (although it had been served on Respondents' counsel with a courtesy copy provided to me). I instructed SeaFair's counsel by email to correct the omission with an appropriate motion, and on August 2, 2024, SeaFair moved to strike the Fee Petition or, in the alternative, for leave to file its Reply out of time. The motion to strike argues that Respondents also did not email their Petition to the Secretary (although they concede that it was served), and therefore it should be stricken. Respondents consented to the motion for leave to file out of time but opposed the motion to strike. SeaFair then sought leave to file a reply to the opposition to the motion to strike, which Respondents opposed.

My aim in instructing SeaFair to file with the Secretary was to ensure the public record is complete. Claim-processing rules such as 46 C.F.R. § 502.254 are not jurisdictional, and regardless of whether Respondents inadvertently omitted to file the Petition or SeaFair inadvertently omitted to file the Reply with the Secretary, all parties and the undersigned were served with both documents such that there is no prejudice to any party or other basis to support a motion to strike. The motion to strike is therefore DENIED, the motion for leave to file out of time is GRANTED, and the motion for leave to file a reply to the opposition to the motion to strike is DENIED.

II. Discussion

A. Burden of Proof

The successful party in a private party complaint proceeding under 46 U.S.C. § 41301 may petition for an award of attorney fees after the decision becomes administratively final. 46

U.S.C. § 41305(e); 46 C.F.R. § 502.254(a). The burden is on the applicant to prove that it is eligible and entitled to attorney fees. *See Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983) (explaining that “the fee applicant bears the burden of establishing entitlement to an award....”). The petition must include evidence to support the reasonableness of the rates claimed and specific documentation of hours worked at each identifiable stage of the proceeding. 46 C.F.R. § 502.254(d); *see Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984) (“[C]ourts properly have required prevailing attorneys to justify the reasonableness of the requested rate or rates.”). Here, Respondent filed the petition and have the burden of proof. The standard of proof is preponderance of the evidence. *Logfret, Inc. v. Kirsha, B.V.*, FMC Docket No. 18-10, 2 F.M.C.2d 110, 113 (F.M.C. June 22, 2020). An appeal of an award of attorney fees is governed by the procedures in 46 C.F.R. § 502.227. 46 C.F.R. § 502.254(h).

B. Arguments of the Parties

The Fee Petition alleges SeaFair “forced multiple Respondents to expend significant time and money in the defense of objectively unreasonable and frivolous claims.” Petition at 2. As SeaFair did not terminate its claims, despite “ample opportunity,” Respondents incurred significant expenses. *Id.* Respondents characterize SeaFair’s complaint as a “common law contract dispute in the vein of vague Shipping Act violation allegations.” *Id.* The Fee Petition asserts the following arguments: that SeaFair falsely described the nature of its damages, failed to cite any Commission precedent in its briefings, produced “voluminous billing records involving various non-parties ... including conflicting calculations and unsubstantiated evolving totals,” attempted to amend its Complaint after the close of discovery, supplemented its Opening Brief with “substantial new alleged evidence and theories” that required “extensive review time,” and failed to “mediate or withdraw its claims with Respondents.” *Id.* at 2-3. Respondents believe that an award of attorney fees would serve a “critical deterrence function” that would support taking Commission proceedings seriously and diligently. *Id.* A potential award would not chill future Shipping Act violation claims, but discourage “unsubstantiated filings, baseless mischaracterizations of facts, and blind hope that the FMC will issue orders outside of its statutory purview.” *Id.* at 4.

SeaFair contends that its allegations were not objectively unreasonable or frivolous, but that the Commission encourages bringing unusual or unique claims that involve potential violations of the Shipping Act. Reply at 4. As the presiding officer did not make a finding of frivolousness during the initial decision, such a finding should not be made now. *Id.* In explaining the basis for its complaint, SeaFair “merely wanted to pursue every avenue possible to legally protect its business interests, and it reasonably believed that Respondents’ actions constituted violations of the Shipping Act.” *Id.* at 5. SeaFair points out that Respondents “could have ended the proceeding at an earlier point by settling the accounts with MSC or by paying SeaFair so it could settle with MSC.” *Id.* Furthermore, awarding attorney fees in the instant case would discourage future claims of Shipping Act violations arising in “novel situations not yet addressed in Commission case law.” *Id.* at 9.

C. Eligibility for Attorney Fees

The Commission conducts a two-step inquiry in determining whether to award fees. First, the Commission considers whether a petitioner is eligible for fees, that is, whether it is a “prevailing party.” If the answer is yes, the Commission considers whether it should award fees to the petitioner. *Logfret*, 2 F.M.C.2d at 113. A party is the prevailing party if there has been a “material

alteration of the legal relationship to the parties in a manner which Congress sought to promote in the fee statute.” Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10512 (Mar. 1, 2016) (citing *Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)). A respondent is the prevailing party “when the complainant’s challenge is rebuffed ‘irrespective of the precise reason for the court’s decision.’” *Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 2017 WL 4924883 at *9 (FMC Oct. 25, 2017) (citing *CRST Van Expedited, Inc. v. EEOC*, 578 U.S. 419, 431 (2016)). A complainant is generally the prevailing party if the presiding officer awards damages, an injunction, or “at least some relief on the merits.” Final Rule, 81 Fed. Reg. at 10512 (quoting *Farrar v. Hobby*, 506 U.S. 103, 111 (1992)).

In the instant proceeding, SeaFair’s Complaint was denied because a violation of the Shipping Act was not established. A material alteration of the legal relationship of the parties transpired because Respondents successfully rebuffed SeaFair’s claims. Complainant does not raise an argument that Respondents are not the prevailing party. Thus, as Respondents are the prevailing party, they are eligible for attorney fees. However, to be awarded attorney fees, Respondents must also be found to be *entitled* to attorney fees. *Logfret*, 2 F.M.C.2d at 113.

D. Entitlement to Attorney Fees

To determine entitlement to attorney fees, the Commission’s primary consideration is “whether such an award is consistent with the purposes of the Shipping Act.” Final Rule, 81 Fed. Reg. at 10515. There is not a general presumption for or against awarding attorney fees, and “parties should be encouraged to litigate meritorious claims and defenses.” *Id.* The Commission considers the factors recommended in *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994) as a helpful guide in deciding entitlement. *See Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 WL 5110081 at *5 (FMC Sept. 14, 2016). These factors include “frivolousness, motivation, objective unreasonableness (both in the factual and legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.” *Fogerty*, 510 U.S. at 534 n.19 (citing *Lieb v. Topstone Industries, Inc.*, 788 F.2d 151, 156 (1986)). The Commission may consider additional factors depending on the issues raised in a specific case. *Statement of the Comm’n on Attorney Fees*, Docket No. 21-14, 3 F.M.C.2d 195, 198 n.22 (FMC Dec. 28, 2021).

In *Edaf*, the Commission reasoned that because the complainant failed to prosecute its claim by becoming increasingly unresponsive, awarding attorney fees would further the purposes of the Shipping Act:

Complainant failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ’s orders on numerous occasions, abandoned its claim, forced multiple [r]espondents to expend significant resources of both time and money in their defense, and perhaps most egregiously, failed to terminate the claim when it could have limited the expenses of the [r]espondents.

2016 WL 5110081 at *5.

In this case, Respondents acknowledge that “simply because a claim was unsuccessful does not necessarily mean it was objectively unreasonable or frivolous.” Fee Petition at 6. Nevertheless, Respondents argue that they are entitled to attorney fees because SeaFair’s “consistent

mischaracterization of purported damages was objectively unreasonable and frivolous.” *Id.* SeaFair’s attempt to amend its Complaint by adding detail surrounding its purported damages when it later “omitted, abandoned, and amended its entire theory of damages” constitutes objective unreasonableness. *Id.* at 8. Because “SeaFair knew or should have known its claims regarding damages were blatantly false and patently devoid of a factual basis...” and it “egregiously failed to substantiate the factual elements of its allegations in the Complaint,” Respondents are entitled to attorney fees. *Id.* at 8-9.

Complainant cites to *MSRF, Inc. v. HMM Co. Ltd.*, Docket No. 22-20, 2024 WL 1741928 at *6 (ALJ Apr. 15, 2024) to argue that the failure to prove a Shipping Act violation is not tantamount to a frivolous or unreasonable claim. Complainant is correct that the Commission does not grant attorney fees when the complainant’s claim is only found to be unpersuasive. *See Baltic Auto*, 2017 WL 4924883 at *12 (“[E]ven if we agreed that deterring frivolous claims was consistent with the purposes of the Shipping Act, an award would not be warranted in this case.”); *see also Logfret*, 2 F.M.C.2d at 114 (“The mere fact that a respondent has prevailed does not render a complainant’s claim objectively unreasonable, otherwise prevailing respondents would be per se entitled to attorney fees, an approach the Commission has rejected.”). While the Commission in *Logfret* found the complainant’s allegations unconvincing, “they were not so patently devoid of merit so as to weigh in favor of awarding fees.” *Id.* That is the case here. SeaFair’s claim that Respondents were required to indemnify SeaFair against unpaid per diem charges that it advanced as Respondents’ destination agent was novel – but it was rationally related to the practices employed and rates charged by Respondents in their capacity as ocean transportation intermediaries. That the evidence presented did not ultimately support a finding that Respondents violated the Shipping Act does not render the claims so lacking in legal or factual bases to necessitate an award of attorney fees.

Respondents’ next argument is that SeaFair’s complaint and briefs were “patently devoid of legal and factual bases to support allegations of Shipping Act violations, and were improperly motivated.” Petition at 9. Respondents assert that SeaFair’s claim can “be readily characterized as a fishing expedition seeking relief outside of the purview of the FMC’s jurisdiction” because the dispute turned out to be a breach of contract claim, and not a Shipping Act violation. *Id.* Respondents contend that SeaFair’s inability to cite a Commission case directly related to indemnification for unpaid per diem charges advanced by a destination agent is evidence that SeaFair “improperly attempted to disguise its unconvincing breach of contract claims and misguided requests for indemnification under the cloak of the Shipping Act.” *Id.*

Respondents argue that, with respect to its § 41102(a) claim, SeaFair’s brief “simply restated the statute, and provided a three sentence characterization of the relationship between the Respondents and non-party MSC on certain bills of lading,” and “did not address the three required elements for proving such a claim, how those elements must be established, nor how either of the Respondents in any way could be shown to have engaged in violative behavior.” *Id.* Respondents raise similar arguments as to SeaFair’s § 41104(a) and § 41102(c) claims, focusing on SeaFair’s apparent inability to connect its allegations to the elements of the above Shipping Act statutes. Because I decided that SeaFair’s allegations were ultimately breach of contract claims for which the Commission could not provide a remedy, Respondents take this as further evidence of SeaFair’s “legally deficient attempts to shoehorn its unsubstantiated breach of contract claims and request for indemnification under the guises of Shipping Act violations....” *Id.* at 11-12.

SeaFair replies by pointing out that the absence of similar Commission case law does not render its claim improperly motivated or factually deficient. Reply at 4. It acknowledges that it is “unaware of Commission case law that addresses Shipping Act claims arising from circumstances

similar to those in the instant matter.” *Id.* Be that as it may, disputes that involve developing areas of case law or scenarios that do not have precisely analogous precedent do not weigh in favor awarding attorney fees. *See Logfret*, 2 F.M.C.2d at 115 (“As the ALJ pointed out, there is little Commission case law discussing that scenario. Consequently, one cannot characterize the argument as *clearly* without merit.”). The most cursory review of its cases shows that the Commission routinely addresses arguments regarding the applicability of the Shipping Act to complex and novel factual scenarios – that SeaFair’s arguments were novel does not by itself make them improperly motivated or so obviously deficient so as to warrant an award of attorney fees.

Respondents’ next argument is that “SeaFair’s motivations in this case were questionable at best, particularly given the evolving presentation of key facts and legal theories regarding the Respondents’ liability...” Fee Petition at 13. Respondents fault SeaFair for continuing to litigate its claims without citing Commission case law precedent regarding reparations and seeking reparation payments for uncollected destination charges. *Id.* Specifically, Respondents allege that SeaFair “did not have a good faith intent to protect a valid interest in pursuing these Shipping Act allegations, but rather sought to financially damage a former business partner as a last gasp attempt to relieve itself from its own failures to perform its destination agent obligations between 2021 and 2022.” *Id.* at 14.

SeaFair denies these allegations, pointing out that “Respondents do not present any evidentiary support for their accusations of SeaFair’s alleged improper motivation.” Reply at 5. Further, SeaFair states that its motivation was to protect its “important economic interests” and it was not “SeaFair’s objective in filing the Complaint to financially damage Respondents.” *Id.*

First, as to SeaFair’s alleged “failures to perform,” I noted in the Initial Decision that Respondents did not “tie the customer complaints [about SeaFair] to specific disputed charges that are at issue in this proceeding,” and presented evidence that was “insufficiently precise for me to be able to determine that the complaints about SeaFair’s practices are relevant.” Initial Decision at 18. So to the extent Respondents’ argument is premised on SeaFair’s alleged “attempt to relieve itself from its own failures,” that argument is as factually unsupported now as it was the last time they made it.

Second, even if SeaFair had failed to perform adequately, Respondents have not tied that failure to perform to any facts that would demonstrate an improper motive in this case. Improper motivation is evident when a party advances an unreasonable legal theory in order to achieve a secondary gain. *Logfret*, 2 F.M.C.2d at 116. Respondents must present more than an allegation that SeaFair’s motivations were “questionable” to be awarded fees. As explained above, there is nothing objectively unreasonable about SeaFair’s claims. I pointed out in the initial decision that SeaFair may very well have a valid claim against Respondents: “SeaFair may be correct that Respondents’ failure to collect from their shippers or pay MSC’s outstanding charges is a violation of the terms and conditions Respondents agreed to,” but that this was essentially a breach of contract claim for which the Commission could not provide relief under the Shipping Act. Where the theory is not objectively unreasonable, and where there is no specific evidence of a secondary motive other than recovery of the unpaid document-turnover fees and destination charges, Respondents cannot establish improper motivation.

Respondents’ final argument is that SeaFair’s conduct greatly increased Respondents’ costs because of the need to respond to new evidence and motions throughout the proceeding. Fee Petition at 14. Respondents argue that they should be “compensated for the extensive resources, time, and effort put into defending against SeaFair’s objectively unreasonable and frivolous claims” and that “SeaFair simply failed to terminate its improper claims when it could have limited the

expense of the Respondents (and itself).” *Id.* at 15. The specific actions that purportedly increased Respondents’ costs were SeaFair’s motion to compel, motion to amend the complaint, as well as “new evidence, arguments, and theories, as well as voluminous billing records” in SeaFair’s opening brief and additional evidence in SeaFair’s reply brief that necessitated a sur-reply. *Id.* at 14-15. SeaFair counters by stating that Respondents could have themselves ended the proceeding by settling and that its claims were “meritorious and based on plausible interpretations of the law and genuine arguments.” Reply at 7.

Absent egregious circumstances, it is hard to conclude that a single motion to compel and a single motion to amend amount to unreasonable multiplication of litigation costs. Nor do I find anything improper in the evidence submitted with SeaFair’s opening brief. Given the nature of claims filed with the Commission, appendices are often voluminous, and SeaFair’s submission was not out of proportion to the claims at issue. With respect to the sur-reply, SeaFair argued at the time that the additional information included in its reply brief was directly responsive to Respondents’ arguments in their opposition brief, and I agreed that this “may be the case,” while nevertheless allowing Respondents to file a sur-reply since the evidence attached to the reply was not previously part of the record. See Order on Respondent’s Motion for Leave to File Sur-Reply (Oct. 10, 2023) at 2.

E. Confidentiality

Respondents filed a Motion for Confidential Treatment of Petition on June 14, 2024. Respondents argue that the “billing narratives associated with the time entries in the Respondents’ invoices [are] subject to attorney-client privilege and/or work product doctrine.” Confidentiality Motion at 1-2. Public and redacted versions of the exhibits were filed. Complainant argues that the public exhibit versions do not contain any description of the work performed, which makes it difficult to challenge the reasonableness of the fees charged. Reply at 9. The question of whether the rates charged are reasonable does not need to be reached considering the Respondents have not established an entitlement to fees. This confidentiality motion will be granted since such information is appropriate for confidential treatment. *See* 46 C.F.R. § 502.5.

III. ORDER

Upon consideration of the record herein, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Complainant’s Motion to Strike Respondents’ Petition for Attorney Fees or, in the Alternative, for Leave to File Reply to Respondents’ Petition for Attorney Fees Out of Time is **GRANTED IN PART** to the extent the Reply is deemed filed and is otherwise **DENIED**; it is further

ORDERED that Complainant’s Motion for Leave to File Reply to Respondents’ Response in Opposition to Complainant’s Motion to Strike is **DENIED**; it is further

ORDERED that Respondents’ Petition for Attorney Fees is **DENIED**; it is further

ORDERED that Respondents' Motion for Confidential Treatment of Petition is
GRANTED.

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Alex M. Chintella
Administrative Law Judge